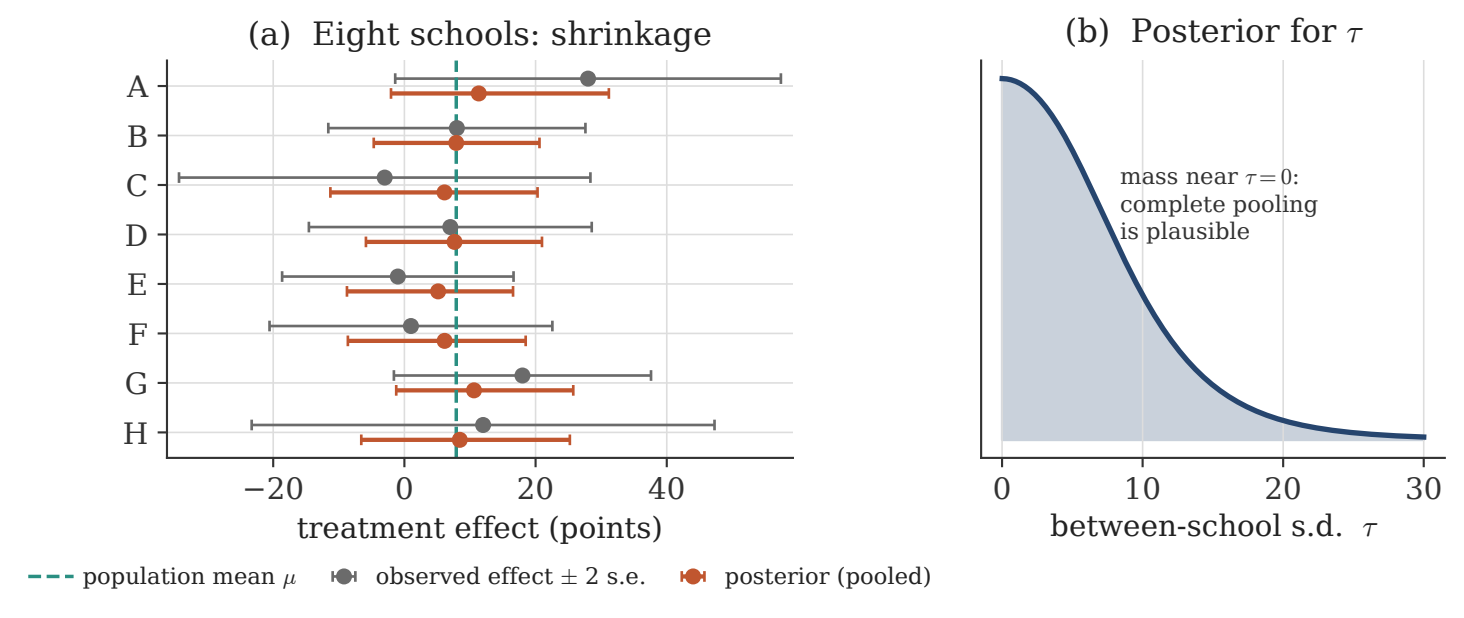

(a) Eight schools: shrinkage
A
B
C
D
E
F
G
H
−20
0
20
40
treatment effect (points)
(b) Posterior for τ
mass near $\tau = 0$:
complete pooling
is plausible
0
10
20
30
between-school s.d. τ
population mean μ
observed effect ± 2 s.e.
posterior (pooled)